

ASEAN struggling to reduce export dependency on US

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Practice Letter

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Dear clients,

President Donald Trump threatened Southeast Asia with some of the highest US tariffs in the world on “Liberation Day” in April 2025. We argued at the time that ASEAN would seek to negotiate with Washington rather than retaliate, while intensifying efforts to diversify trade partners—though it would be difficult to substitute for US demand anytime soon. That shift has indeed proven difficult. The share of the region’s goods exports going to the US rose very slightly to 17.9% in the second quarter from 17.8% a year earlier, though the pace of increase slowed relative to previous years. (Exports to China and the EU have continued to rise in absolute terms, but at a slower pace than those to the US.)

Tech boom reinforces importance of US export market

Buoyant tech-related exports amid the AI boom have been the main driver of ASEAN’s rising US export share over the past two years. The Trump administration has exempted many of these goods from the various additional US tariffs that Washington rolled out over the past year or has in the pipeline.

Vietnam relies more heavily than other large ASEAN economies on the US market, which accounts for about one-third of its exports, a level that has remained steady over the last year. Pure transshipment—trade fraud or tariff evasion—from China is believed to account for a small portion of Vietnam’s exports to the US, though Vietnam relies heavily (and increasingly) on Chinese inputs.

Thailand and Malaysia have experienced the biggest increases in US export dependence since Liberation Day. In Thailand, the share has risen from 21% to 25%; in Malaysia, it has increased from 14% to 18%. Both countries play important roles in tech supply chains. While officially adopting a neutral geopolitical stance, both Thailand and Malaysia lean slightly more toward Beijing. Their growing reliance on the US export market will limit how far they can move in that direction.

The Philippines saw a smaller increase in its US export share from 16% to 18% over the same period. Conversely, Indonesia has become less reliant on the US market, mainly because commodity and manufacturing exports to China and other destinations have grown more quickly.

Vietnam and Thailand face risks from prolonged US trade talks

Eurasia Group expects Section 301 tariffs related to forced labor (already announced) and overcapacity (investigations ongoing) to result in headline duties for most ASEAN nations similar to the 19%-20% rates imposed under the struck-down reciprocal tariff framework. Indonesia, Malaysia, and Cambodia have already reached Agreements on Reciprocal Trade (ARTs) with Washington that help reduce—but not eliminate—the risk of new tariffs, but other Southeast Asian nations do not have such deals.

Negotiations have proven trickiest for Thailand and especially Vietnam, which currently runs the largest trade surplus with the US. The high—and in Thailand's case, sharply rising—share of their exports bound for the US gives Washington more leverage and raises concerns about transshipment, while elevating the potential costs for Hanoi and Bangkok of failing to secure deals. Washington has been pushing both governments hard on transshipment—defined very loosely by the US—and market access.

Thailand appears closer than Vietnam to a deal because Bangkok faces greater economic pressure amid weak GDP growth. That said, Bangkok is not desperate to secure a deal, especially as Section 301 tariffs cover less than half of shipments to the US, although separate sectoral duties will affect some of the remaining exports. Thailand will defend its redlines, such as on sensitive market access in the agricultural sector.

Vietnam draws confidence from continued strong export growth to the US. Section 301 tariffs cover just over half of shipments to the US (though some of the remainder will be covered by sectoral tariffs). These factors, combined with strong GDP growth—which hit nearly 10% in the third quarter—make Hanoi reluctant to acquiesce to Washington's demands, especially on issues related to economic ties with China. But Vietnam cannot afford to be complacent, as exports to the US are equal to about 26% of GDP. The country is also the sole target of an additional Section 301 investigation into intellectual property that could result in tariff rates exceeding those of regional peers. (Under the previous reciprocal framework, Vietnam faced a 20% rate, compared to 19% for most of its peers.)

The Philippines also does not have an ART, but bilateral tensions with the US are lower. The Philippines is the only major Southeast Asian nation not covered by the Section 301 investigation into overcapacity, so it could end up with the lowest headline tariff in the region (though the Philippines still faces a 12.5% tariff under the forced labor Section 301 regime). ART negotiations do not seem to be a high priority for either Washington or Manila. That said, if Trump's reported visit to Manila for the ASEAN Summit in November is confirmed, a deal with the Philippines would be a probable outcome; his trip would also be a catalyst or watchpoint for trade (and minerals) agreements with other partners in the region.

Diversification push will continue

Despite the boom in technology and other exports to the US, Southeast Asian countries want to diversify trade ties amid continued geopolitical volatility, even if the process will take years. As anticipated, the EU is a winner from the US tariff barrage. Indonesia finalized a free trade agreement (FTA) with the EU in late 2025 after years of negotiations, and Jakarta is pushing to implement it by early 2027. In September, the Philippines and the EU substantially concluded FTA negotiations and are expected to sign the deal in 2027. The EU is also in talks with Malaysia and Thailand, though less progress has been made. Vietnam and Singapore already have FTAs with the EU.

Indonesia and the Philippines will soon begin accession talks for the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). Manila had been unenthusiastic about joining the pact prior to Trump's tariff barrage. Singapore, Malaysia, Vietnam, and Brunei are already members. Canada signed a trade deal with Indonesia in September 2025 and is expected to conclude agreements with the Philippines and ASEAN later this year. These negotiations are part of a broader effort. Trade diversification is not just about trade deals but also the broader promotion of political and commercial ties.

ASEAN is also intensifying longstanding efforts to deepen integration within the bloc, though challenges include high non-tariff barriers and limited political will to address them.

Even as the intensifying diversification push creates new economic corridors and commercial opportunities for international firms, ASEAN will struggle to reduce its dependence on the US market. At the same time, Southeast Asia is relying more heavily on imports from China. These dynamics will keep the region at the center of US-China tensions.

Peter Mumford

Practice Head, Southeast Asia

+65 6653.4316

mumford@eurasiagroup.net

Melinda Hoe

Associate, Southeast Asia

+65 6653.4318

hoe@eurasiagroup.net

Olga Letticia

Associate, Southeast Asia

letticia.ne@eurasiagroup.net

Fadli Yusoff

Analyst, Southeast Asia

yusoff.ne@eurasiagroup.net

EG Southeast Asia

southeastasia@eurasiagroup.net

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